countries are supposed to extend MFN (Most Favoured Nation) status to all other countries without any discrimination. Transparency should be maintained by publishing all relevant laws and regulations over services.

Phasing out of Multi Fibre Agreement (MFA)

The multi fibre agreement governed the world trade in textiles and garments since 1974. It imposed quotas on export of textiles by developing nations to the developed countries. This quota system was to be phased out over a period of ten years. This was beneficial to India.

Agreement on Agriculture (AoA)

Agriculture was included for the first time under GATT. The important aspects of the agreement are Tariffication, Tariff cuts and Subsidy reduction.

Dispute Settlement Body

The Disputes Settlement Body puts an end to procedural delays. It is mandatory to settle any dispute within 18 months. The disputes are resolved through multilateral trading system. However, India has lost a huge export earnings because of the conditions laid out by the Body.

8.4.2. Functions of WTO

The following are the functions of the WTO

i) It facilitates the implementation, administration and operation of the objectives of the Agreement and of the Multilateral Trade Agreements.

ii) It provides the forum for negotiations among its members, concerning their multilateral trade relations in matters relating to the agreements.

iii) It administers the Understanding on Rules and Procedures governing the Settlement of Disputes.

iv) It cooperates with the IMF and the World Bank and its affiliated agencies with a view to achieving greater coherence in global economic policy making.

Major WTO Functions

- ❖ Administering WTO trade agreements
- ❖ Forum for trade negotiations
- ❖ Handling trade disputes
- ❖ Monitoring national trade policies
- ❖ Technical assistance and training for developing countries
- ❖ Cooperation with other international organizations

8.4.3. Achievements of WTO

The major achievements of WTO are as follows

1) Use of restrictive measures for BoP problems has declined markedly;

2) Services trade has been brought into the multilateral system and many countries, as in goods, are opening their markets for trade and investment;

3) The trade policy review mechanism has created a process of continuous monitoring of trade policy developments.

12-Economics-Chapter_8.indd 164 23-12-2022 14:45:01